

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-01

**Visual Comfort & Co., Inc.
v.
COSCO Shipping Lines Co., Ltd.**

RESPONDENT’S MOTION TO STRIKE AND FOR LEAVE TO FILE A SURREPLY

Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO”) hereby moves to strike portions of the Reply Brief of Complainant Visual Comfort & Co., Inc. (“Complainant or “VCC”), including the improperly filed supplemental Appendix (“Reply Appendix”), and for leave to file a surreply addressing certain inaccurate aspects of the Reply Brief. The grounds for this motion, elaborated below in the Memorandum in Support, are: (i) that the Reply Appendix and portions of the Reply Brief citing thereto contravene the governing Scheduling Order and (ii) that portions of the Reply Brief include new argument and evidence that was required to be in the Opening Brief, if at all.

Counsel for Respondent has conferred with Counsel for VCC, who authorizes us to state that VCC opposes this motion.

MEMORANDUM IN SUPPORT OF MOTION

INTRODUCTION

In addition to filing a Reply Brief, Complainant also filed a Reply Appendix of factual material. Such a filing on reply is not provided for in the Commission’s regulations and is flatly

inconsistent with the Scheduling Order governing the nature and timing of document submission in this proceeding.¹

Even apart from the Scheduling Order and FMC Rules, the Reply Appendix and certain new portions of the Reply Brief constitute the prohibited practice of “sandbagging.” That is, Complainant has included in its “last chance” Reply Brief and Reply Appendix both argument and purported “evidence” that was required to be filed in its Opening Brief, if at all.

The correct remedy for this blatant flouting of the Scheduling Order and the limitations on reply briefs is to strike the offending material, as Judge Hervey recently did in *Marine Transport Logistics, Inc. v. CMA CGM, S.A.* (FMC Docket No. 22-23), 2024 WL 4678463 (ALJ Order on Respondent’s Motion to Strike, October 30, 2024). Even if the Presiding Officer strikes the requested portions, and certainly if he does not, he should still permit Respondent to file a surreply addressing the new argument and evidence, as well as some of the many, apparently deliberate, factual misrepresentations with which the Reply Brief is replete.

ARGUMENT

As anticipated in Respondent’s Opposition Brief (at pp. 10-12), Complainant has engaged in a classic case of “sandbagging.” Complainant’s Opening Brief simply failed to make showings that Complainant was required to demonstrate in order to prove the elements of the violations it claims. And as addressed at length in the Opposition Brief, Complainant also failed entirely to

¹ We note that Complainants have manifested a repeat inability to comply with the FMC’s Rules and ALJ Orders. On November 15, 2024, for example, the then-Presiding Officer criticized Complainant for failure to follow the Rules regarding confidential information and ordered them to redo it properly. Order to Correct Filings and Order on Outstanding Motions (ALJ November 15, 2024). And on December 20, 2024, Complainant improperly filed confidential versions with the Secretary of the FMC, rather than just the Presiding Officer, contrary to 46 C.F.R. § 502.5. See Exhibit A (email from Complainant’s Counsel acknowledging Complainants’ improper filing).

submit documentary evidence necessary to prove its case (such as COSCO invoices showing each of the charges complained of and proof of payment by RIM to COSCO.

Now, after Respondent has filed its last, and only (in the normal course) brief, Complainant has improperly sought to make new arguments that it failed to make before and, even more egregiously, has sought to introduce new evidence that it could, and should, have submitted with its Opening Brief.

1. The Presiding Officer Must Strike the Supplemental Appendix and Portions of the Reply Brief

Filings in this matter are controlled by the Scheduling Order issued by the Presiding Officer on March 8, 2024 (Initial Scheduling Order) and revised on September 5, 2024 (Amended Scheduling Order). That Scheduling Order, both as originally issued and as revised, makes clear that Appendices are not to be filed with the Complainant's Reply Brief. It states in pertinent part (emphasis added):

FURTHER ORDERED that the parties follow this schedule:

November 8, 2024	Complainant's Brief, Proposed Findings of Fact, <i>and Appendix</i>
December 6, 2024	Respondent's Opposition Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact, <i>and Appendix</i>
December 20, 2024	Complainant's Reply Brief and Responses to Respondent's Proposed Findings of Fact [<i>no provision for an Appendix</i>]

It cannot be contravened that the Scheduling Order specifically provides for an Appendix to the Opening Brief and an Appendix to the Opposition Brief but specifically *does not* provide

for an Appendix to the Reply Brief.² Complainant's decision to nevertheless file a factual Appendix is thus in plain contravention of the Order, so must be stricken.³

Even apart from this violation of the Presiding Officer's Scheduling Order, the new Appendix, and new arguments in the Reply Brief, must be rejected as forbidden sandbagging.⁴ The impropriety of raising new arguments and submitting new evidence on reply is well established.

The cases holding that courts should strike, or disregard new arguments/evidence first raised in reply briefs are legion. We here note just a few of them.

In *Hamilton v. Willms*, 2007 WL 2558615 (E.D. Ca.), for example, the court explained:

"The court cannot grant [in that case a motion] on a new argument or new argument or new evidence presented for the first time in a reply brief. The court declines to consider the new evidence offered in the reply briefs. . . . Parties are required to raise all of their arguments in their opening brief to prevent 'sandbagging' of [the] non-moving party." (Citations to eight supporting cases omitted).

Likewise, in *Corson and Gruman Co. v. NLRB*, 899 F.2d 47, 50 n.4 (D.C. Cir. 1990), the D.C. Circuit explained: "We require petitioners and appellants to raise all of their arguments in the opening brief to prevent "sandbagging" of appellees and respondents and to provide opposing counsel the chance to respond."

² This limitation on reply filings cannot come as any surprise to Complainant, as Complainant and Respondent themselves jointly proposed the schedule adopted by the Presiding Officer. Joint Status Report and Proposed Schedule (August 30, 2024).

³ Nor, shockingly in light of the Order, did Complainant make a motion for leave to file such an otherwise forbidden document.

⁴ Although courts sometimes make exceptions where the evidence was not available or the argument could not be made at the time the opening brief was submitted, no such exception applies here. All the arguments made in Complainant's Reply Brief were known, and could have been made, in its Opening Brief. Likewise, at least most of the new evidence that Complainant seeks to introduce was in its possession well before it filed the Opening Brief, in which it could/should have included the material.

Courts in many other cases have declined to consider arguments/evidence first raised in reply briefs. The court in *In re Basquez*, 2020 WL 6929242 (C.D. Cal. 2020), for example, held that it would not consider new evidence first raised in a reply brief, stating:

“[I]t is unfair to opposing parties for a moving party to include new evidence with a reply brief. All evidence in support of a motion should be included in the initial moving papers. In rare instances, it may be appropriate to include evidence with reply papers (i.e., if the evidence was not available when the motion was filed). But in nearly all circumstances procedural fairness requires that moving parties present all the evidence upon which they intend to rely before the deadline for which opposing parties must respond to the motion. . . . Attempting to present evidence after the opposing parties no longer have an opportunity to respond to a motion is inherently unfair and improper.”

Accordingly, the court ordered that the offending evidence be “stricken.” *Id.*

These decisions are typical of how the federal courts have rejected sandbagging and refused to consider new arguments and evidence in reply briefs. See, e.g., *Williams Nat. Gas Co. v. FERC*, 116 F.3d 942 (D.C. Cir. 1997) (argument made for the first time in oral argument not considered) (citing *Board of Regents v. EPA*, 86 F.3d 1214, 1221 (D.C.Cir.1996) (to prevent “sandbagging of appellees and respondents, we have generally held that issues not raised until the reply brief are waived”) and *Pennsylvania Electric Co. v. FERC*, 11 F.3d 207, 209 (D.C.Cir.1993) (“We have said before, and we say again, that ordinarily we will not consider arguments raised for the first time in a reply brief.”)); *Knipe v. Skinner*, 999 F.2d 708, (2nd Cir. 1993) (disregarding arguments made in reply and stating that “[a]rguments may not be made for the first time in a reply brief); *Clubside, Inc. v. Valentin*, 468 F.3d 144, 160 (2d Cir. 2006) (“we generally do not consider arguments that are raised for the first time in a reply brief”); *Artuso v. Feit*, 2022 WL 17960677 (N.D. Ohio 2022) (disregarding new evidence); *Lattimore v. Brahmbatt*, 2022 WL 1599326 (W.D. Va. 2022) (refusing to consider matters added in reply brief); *Bravia Cap. Partners, Inc. v. Fike*, 296 F.R.D. 136, 144 (S.D.N.Y. 2013) (“arguments may not be made for the first time in a reply brief”

(quotation omitted)); *Wolters Kluwer Fin. Servs. Inc. v. Scivantage*, 2007 WL 1098714, at *1 (S.D.N.Y. 2007) (“It is established beyond peradventure that it is improper to sandbag one's opponent by raising new matters in reply.”). As explained in Respondent’s Opposition Brief, the Commission follows the same rule as the federal courts. In *Marine Transport Logistics, Inc. v. CMA CGM, SA*, FMC Docket No. 22-23, 2024 WL 4678463 (ALJ Order on Respondent’s Motion to Strike, October 30, 2024), the Administrative Law Judge granted a motion to strike argument and evidence that had not appeared in the complainant’s opening brief but had been inserted in its reply. She explained:

“In general, parties are required to raise all of their arguments in an opening brief to prevent “sandbagging” that deprives the opposing party of the opportunity to respond, and not doing so constitutes a waiver of the arguments not raised in the opening brief. *Corson and Gruman Company v. National Labor Relations Board*, 899 F.2d 47, 51 n.4 (D.C. Cir. 1990) (citing *Reyes-Arias v. INS*, 866 F.2d 500, 504 n.2 (D.C. Cir. 1989)). Where, as the case is here, new arguments are raised for the first time on reply it is appropriate to decline to hear those arguments. *Ner Tamid Congregation of N. Town v. Krivoruchko*, 620 F.Supp.2d 924, 929 (N.D.Ill.2009); see also *Autotech Techs. Ltd. P’ship v. Automationdirect.com Inc.*, 235 F.R.D. 435, 437 (N.D.Ill.2006).” *Id.* at *2.

Accordingly, even if new evidence/Appendices were not prohibited by the Scheduling Order, the Presiding Officer would need to strike the Reply Appendix as well as all portions of the Reply Brief citing to or dependent upon the Reply Appendix. This would include, at the very least, Complainant’s Reply Brief arguments and references to the “Reply Appendix” at pages 1-3, 5, 8-9, 33, 36-37.

2. If the Presiding Office Does Not Strike the Prohibited New Arguments/Evidence He Must Permit a Surreply

As shown above, the Presiding should strike both the Reply Appendix and portions of the Reply Brief. If, contrary to that showing, the Presiding Officer decides not to strike some of the

offending portions, he must as a matter of due process allow Respondent to file a surreply addressing whatever remains unstricken.

The law is clear that where a trial court declines to strike new arguments or new evidence first presented on reply, it **must** permit the opposing party an opportunity to respond. Any other course is an abuse of discretion. As the courts have explained:

“It is well-settled that a movant cannot raise new issues for the first time in a reply brief because consideration of such issues deprives the non-moving party of its opportunity to address the arguments. ‘[W]hile a district court nonetheless has the discretion to consider an issue raised in a reply brief, or new evidence submitted with a reply, it **must first** give the opposing party a reasonable opportunity to respond to the new argument or evidence. ***Failure to do so is an abuse of discretion.***” *Hicks v. City of Millersville*, 2022 U.S. Dist. Lexis 150107 at *21 n.6; 2022 WL 3589489 (M.D. Tenn. 2022) (emphasis added; citations omitted).

Or as the Eleventh Circuit has stated:

“When faced with a reply brief that offers new evidence, we, like the Tenth Circuit, conclude that the district court has two permissible courses of action. It can either (1) permit the nonmoving party to file a surreply or (2) refrain from relying on any new material contained in the reply brief. ***But it may not preclude the nonmoving party from filing a surreply and then grant summary judgment based on new material*** presented only in the reply brief.” *Atlantic Specialty Insurance Co. v. Digit Dirt Worox, Inc.*, 793 Fed Appx. 896, *900; 2019 U.S. App. Lexis 33013; 2019 WL 5704518 (11th Cir. 2019)(emphasis added; citations omitted).

Accordingly, the court of appeals in that case reversed the trial court’s decision to consider new material without allowing a surreply. Accord, e.g., *Doebele v. Sprint/United Management Co.*, 343 F.3d 1117, 1139 n.6 (10th Cir. 2003); *Seay v. TVA*, 339 F.3d 454, 481-82 (6th Cir. 2002). In *Seay*, the Sixth Circuit expressly rejected the lower court’s determination that new matters raised in reply could be considered without a surreply because they merely pointed out facts in the non-moving party’s possession. To the contrary, the court held that considering such new matter in a reply was inconsistent with the federal rules, and in particular inconsistent with F.R.C.P. 56(c).

3. The Presiding Officer Should Permit a Surreply to False or Misleading Statements in the Reply Brief

Even if the Presiding Officer strikes the Reply Appendix and portions of the Reply Brief relating thereto, he should still permit Respondent to file a surreply responding to some of the many false and/or misleading statements made by Complainant in its Reply Brief.

Complainant's Opening Brief was replete with false statements, as demonstrated in Respondent's Opposition Brief. Such falsehoods are even more rampant in Complainant's Reply Brief, which displays an even greater degree of infidelity to fact. Even the list of whoppers is too long to describe here, so we summarize just a few of the more egregious examples.

Complainant says (at p. 1) and repeats (at p. 2) that COSCO did not produce any invoices from COSCO to RIM. That is plainly false, as Complainant knows, because COSCO produced such invoices on September 18, 2024 (COSCO_001861-001863). This included both invoices from COSCO to RIM and a credit note from COSCO to RIM.

Yet again on page 1, Complainant reiterates its false claim that "COSCO has utterly failed to search for and produce relevant documents." That assertion was already disproven in Respondent's Opposition Brief. In short, COSCO searched in accordance with the ESI protocol agreed to by VCC, used the very search terms that VCC requested, and provided every single document identified by those searches to VCC, except for two privileged documents.

On page three, Complainant asserts that RIM has standing to seek reparations from COSCO because RIM was in some strained sense a "customer" of COSCO. But only a "direct purchaser" has standing to seek reparations. VCC bears the burden of proof to demonstrate that RIM was a "direct purchaser," from COSCO, but has submitted no evidence that RIM actually paid COSCO for any of the charges, much less all of them.

On page 5, VCC claims that RIM was acting as an NVOCC in connection with these shipments. That is entirely unsupported by evidence. Under the Shipping Act, an entity is not a common carrier, and hence not an NVOCC unless it “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. 40102(7(ii)). This assumption of responsibility is proven by putting into evidence the actual House bill of lading (“HBL”) that the entity must issue to the shipper. No such HBLs are in evidence here (nor were any produced by VCC or RIM in discovery).

Perhaps VCC’s biggest untruth is its assertion, at page 6, that COSCO assesses storage charges. As already established, COSCO does not charge either storage or yard storage. COSCO’s charges, as exemplified in the five COSCO invoices included in the Reply Appendix, are for detention, not storage. As Mr. Takase explained, storage or yard storage is a charge assessed by motor carriers and sometimes terminals, not ocean carriers.

On page 14 (and elsewhere) of the Reply Brief, Complainant makes the entirely false claim that COSCO “refused to negotiate with its customers about the charges.” Complainant certainly knows better than that. In COSCO’s very first document production, on May 30, 2024, COSCO produced to VCC multiple emails showing COSCO negotiating such charges with customers (indeed waiving them). COSCO would certainly have negotiated over any charges to RIM, had it been asked. But it never was. Indeed, the Complaint in this proceeding makes clear that Complainant deliberately eschewed use of COSCO’s informally FMC-approved process for addressing complaints. Complaint, paragraph 27, n.1.

We could go on, and on, and on. But we have no wish to try the Presiding Officer’s patience the way ours has been sorely tested. We leave all of the other untruths, mistruths, and misleading statements to the surreply.

CONCLUSION

For the foregoing reasons, the Presiding Officer should strike the supplemental “Reply Appendix” and related portions of Complainant’s Reply Brief and must permit Respondent to file a surreply addressing any of the above that he does not strike. Whether or not the Presiding Officer strikes portions of the Reply Brief, he should permit Respondent to file a surreply addressing the false statements identified above.

Respondent’s proposed surreply is attached.

Dated: December 30, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 30th day of December 2024, a true and correct copies of the foregoing **Respondent's Motion to Strike and for Leave to File A Surreply** was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

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